



Understanding the biopharma landscape in 2026 means recognizing the need to balance optimism and concern. From a headline perspective, 2025 was another strong year. Biotech delivered strong revenue growth, up 13% to US\$232b; a third successive year of growth. The number of commercial leaders (those with revenues over US\$500m annually) hit a record 72. Industry market capitalization rebounded strongly in the last months of 2025 as investors responded enthusiastically to biopharma's progress in negotiating a new working relationship with the US government (discussed in more detail below). In the first half of 2026, IPO investment has continued to recover. In April, Kailera Therapeutics' IPO generated US\$718m, exceeding the total raised by Moderna in 2018, the sector's largest previous IPO.

However, the continued difficulties for many players in the sector are reflected in the number of public companies falling for the fourth year in succession in 2025, with only 758 US and European public biopharma still trading at the end of 2025 – compared to the 977 that were in business as recently as 2021. Since 2021 this adjustment has been attributable, in large part to a deep correction that followed the “sugar rush” pandemic peak in investment. Nevertheless, the fact that the cohort size keeps consolidating downwards year after year indicates the ongoing challenges smaller players face to stay afloat in the current business environment.

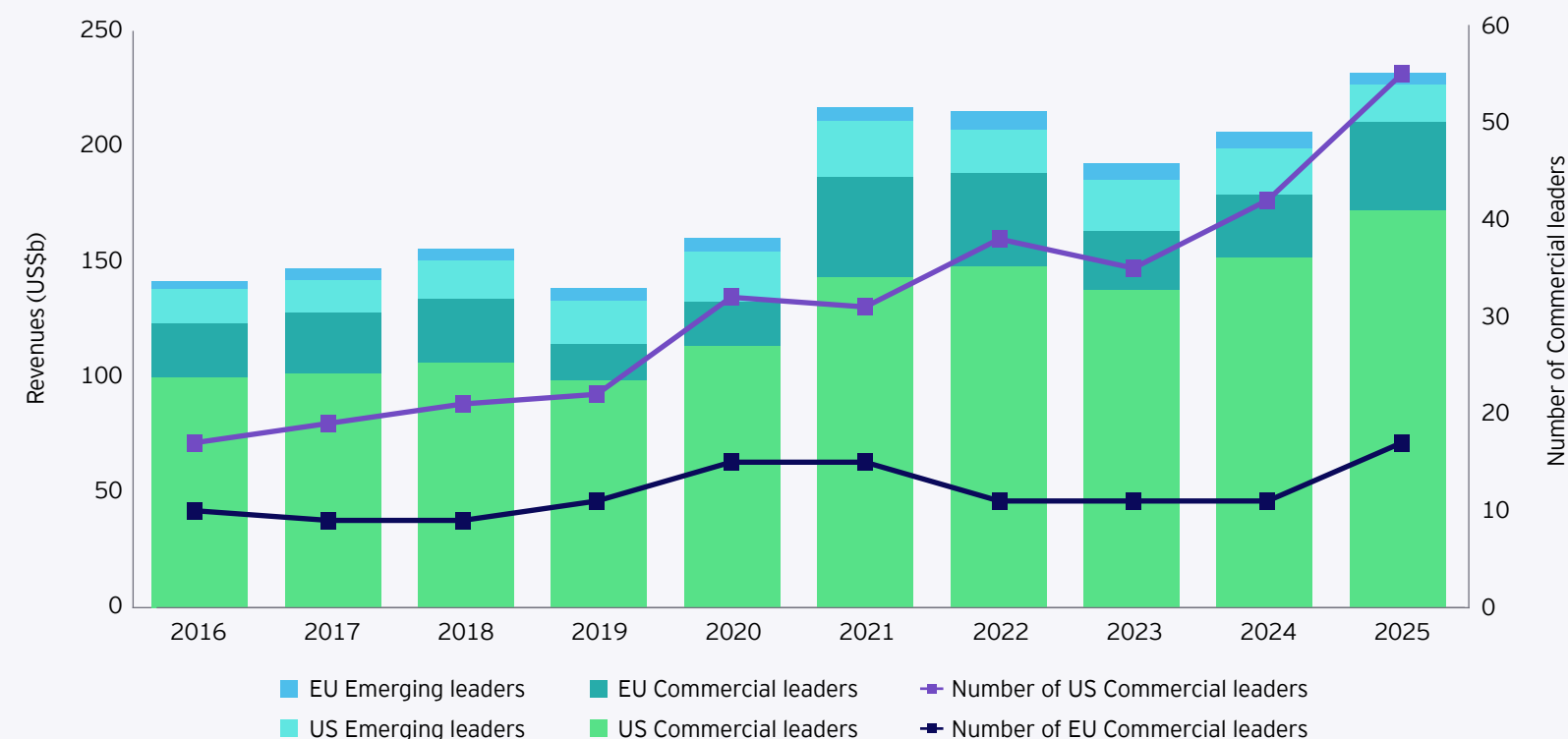
The starkest illustration of this is the cash situation for the industry. Outside of the sector's commercial leaders (those with revenues over US\$500m annually), only 45% of emerging biopharma have more than two years' cash remaining at the end of 2025. For 33%, less than a year's cash is left in reserve. Companies are feeling the heat despite reasonably healthy headline numbers for investment into the sector.

Biopharma raised US\$68.5b overall in 2025, up 11% in 2024 and in line with the levels of financing the industry was generating prior to the pandemic investment spike and subsequent correction. Some of this increase is attributable to a 47% jump in debt financing in 2025, with some of biopharma's biggest players issuing debt to finance new acquisitions.¹ However, even discounting the biopharma giants, the innovation capital generated (that is, the financing raised by companies outside the biotech commercial leader group) in 2025 was the highest since 2021. The industry's smaller players raised US\$58.9b: 86% of the total haul, and up 6% on the previous year. Follow-on financings, which were a

particular source of concern in 2024, rebounded 34% in 2025, led by major rounds for orphan disease specialist Insmed, and a strong showing for immunology-focused biotechs including Kymera, Immunovant and Tharimmune.

The challenge for biotech financing is around venture capital (VC) and IPOs. The IPO market has displayed hopeful signs in the early months of 2026, with significant offerings including Generate Biomedicines and Eikon Therapeutics, which raised US\$400m and \$381m in Q1 2026. However, this uptick needs to be seen against the background of minimal biotech IPO activity each quarter since the beginning of 2022.

Biotech revenue performance 2016-2025



Sources: EY analysis, Capital IQ, company reports.





Meanwhile VC activity reflected and reinforced the long-deepening division between the industry's haves and have-nots. The total raised – US\$20.6b – was down 17% compared to 2024 but still 6% higher than the 10-year average. Yet this figure comes disproportionately from late-stage deals (that is, third or later financing rounds), which climbed 9% to a record US\$10b from 254 rounds. The industry generated another US\$4.3b in VC investment in the first quarter of 2026, with some major rounds despite the ongoing business uncertainty. At the same time, early-stage financing generated US\$12.3b from 353 rounds – a 21% drop in dollar terms and 14% dip in deal volume compared to 2024.

This reflects an increasingly selective and discriminating approach on the part of investors toward biopharma risk. Companies like Kailera Therapeutics, which raised US\$600m in Series B financing in October 2025 (prior to its record-breaking IPO in April 2026),² are thriving. Kailera's injectable GLP-1/GIP agonist offers a phase 3 asset in a high-demand therapeutic category and unsurprisingly faces few barriers to raising capital.

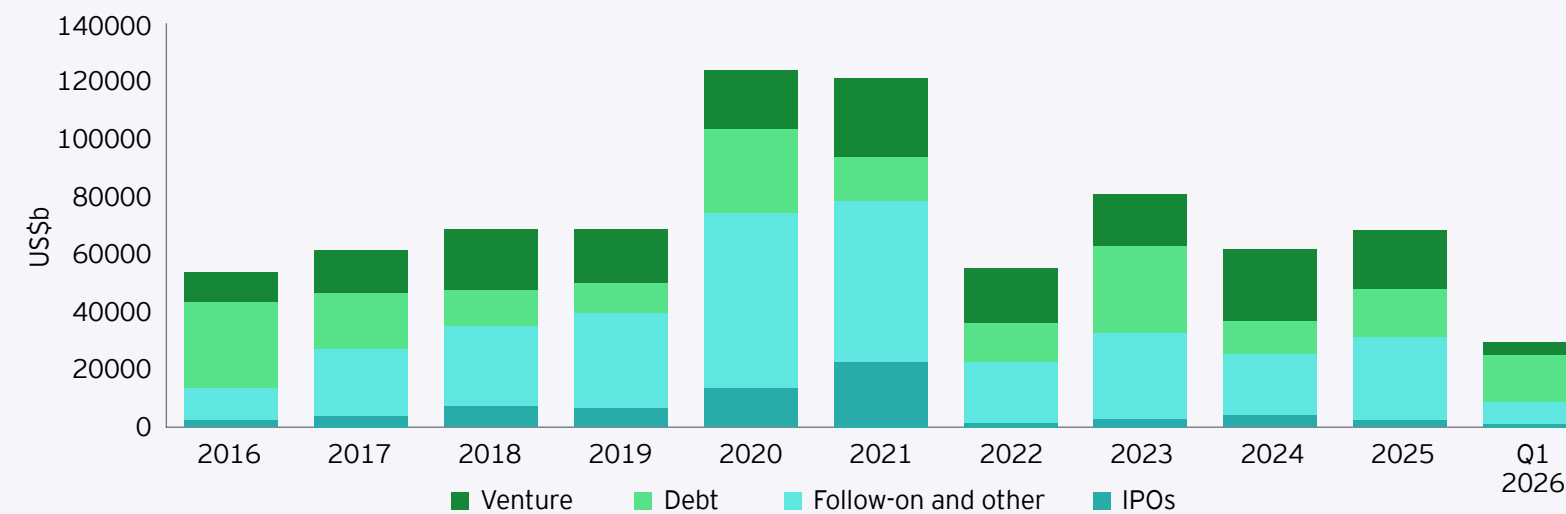
Yet the investor enthusiasm for opportunities like these masks a generally cautious VC stance. The 2025 total of 607 financing rounds overall was 19% down on the five-year average deal volume, and just 50 of these rounds (8% of the total) accounted for 50% of the total investment.

On the M&A front, a similar pattern of spend disproportionately driven by a relatively small number of larger-value deals was apparent in 2025. Average deal size reached its highest level in five years, and deals of US\$5b or more in value accounted for 59% of spend, compared to a five-year average of 51%. Big Pharma's renewed willingness to transact continued into the first quarter of 2026, with US\$36b in deals signed, compared to US\$100b over the whole of 2025.

The high competition for de-risked assets means that the industry has increasingly leaned into alliances in addition to M&A. The growing preference for alliances increases the difficulty for emerging companies to exit via acquisition. A longer path to exit means that companies need to manage cash flow closely to keep the lights on until they can generate clinical data that will either support commercialization under their own agency or incentivize big pharma partners to consider buying them out.

However, a further complication for the US and European biotech ecosystem is the growing importance of China as an R&D competitor. China's growing speed and sophistication as an innovator has driven a huge upsurge in industry investment, with Chinese companies representing a genuine alternative to US and European biotech hubs for the first time. While US and European alliance spend was still robust in 2025 (the third-highest biobuck investment ever achieved, at US\$136b), this was, once again driven by a higher average alliance investment. Average deal size spiked 45%, offsetting a 35% decline in the number of alliance deals. Once again, the pattern of investment is highly discriminating and selective.

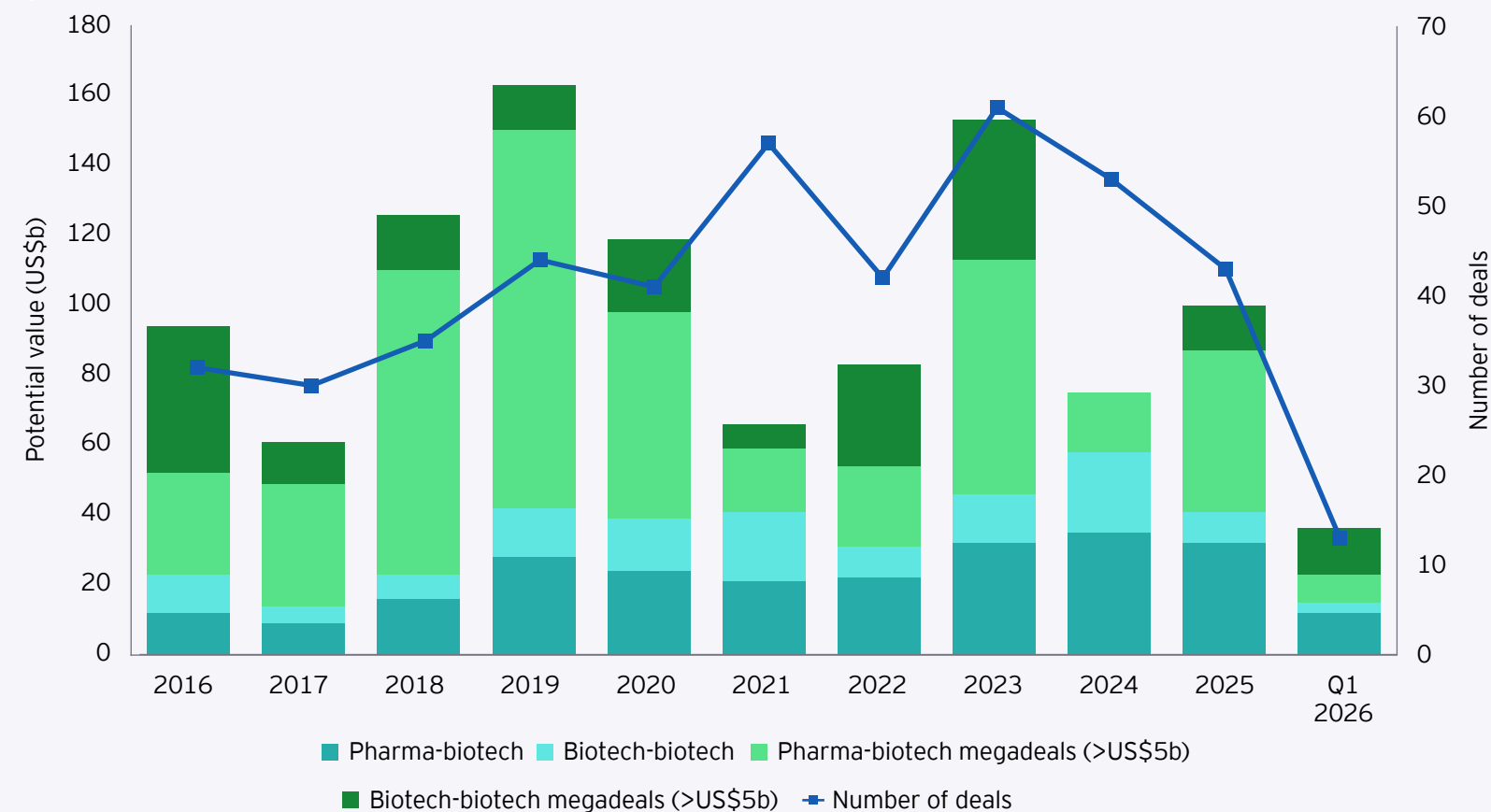
Biotech financing, 2016-Q1 2026



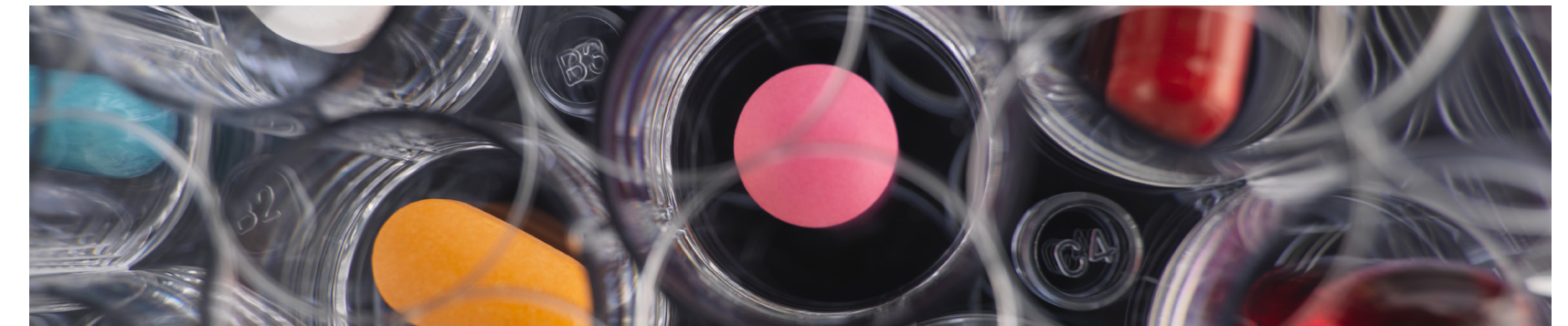
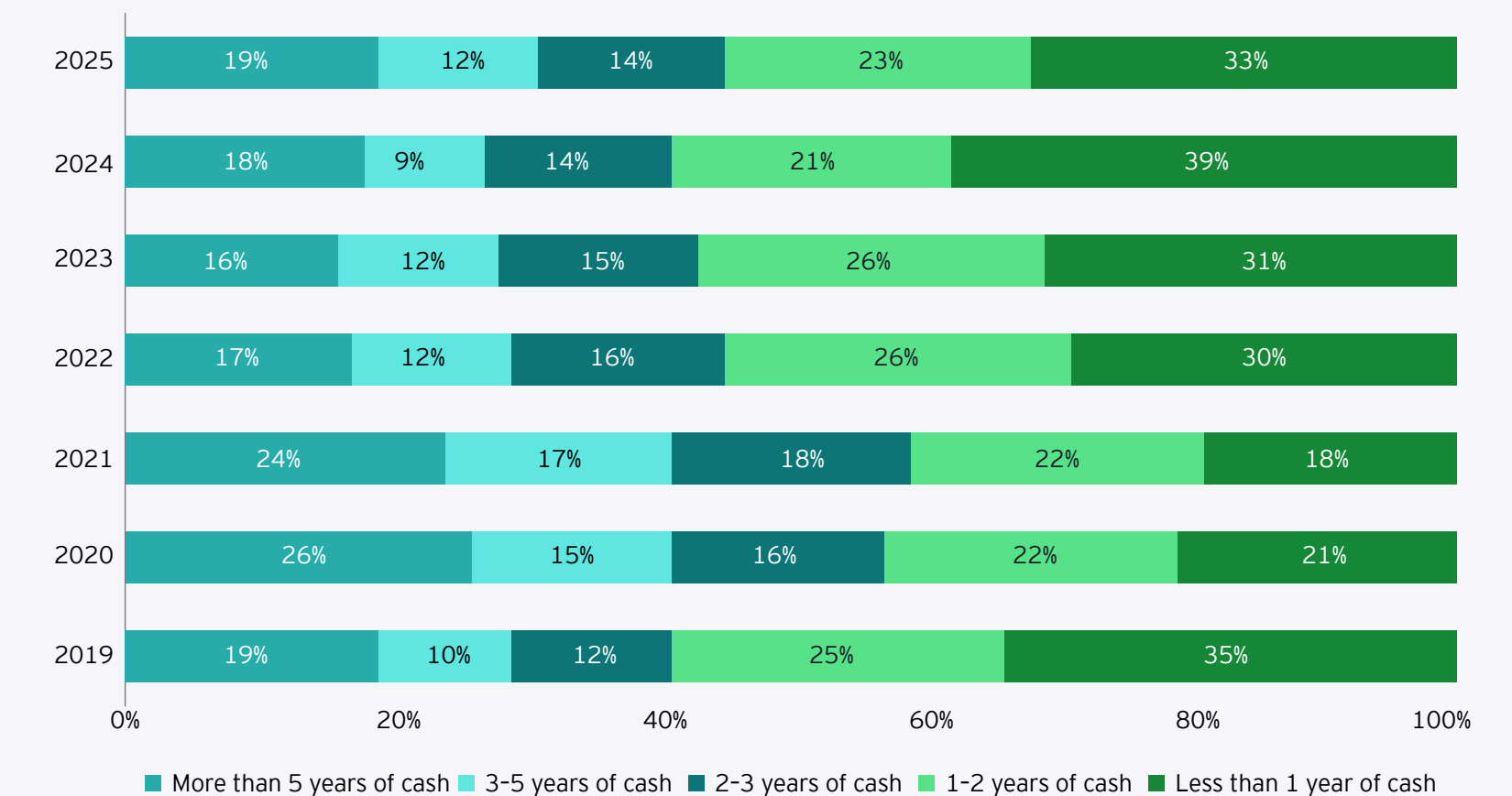
Sources: EY analysis, Capital IQ.

So, while these are good times for a subset of biotech companies, the reasons for the declining numbers of public companies and the pressures straining those companies that remain in operation are clear. Put simply, biotech investors, both financial and strategic, have limited appetite for risk. The reason for this is also

clear: the ambient level of risk and uncertainty is already high across the sector. To understand this background, we need to look beyond the patterns of industry investment and other internal performance metrics and look at the wider external dynamics that are redefining the world in which biopharma operates.

M&A deals 2016-Q1 2026

Sources: EY analysis, Capital IQ.

**Biotech Survival Index**

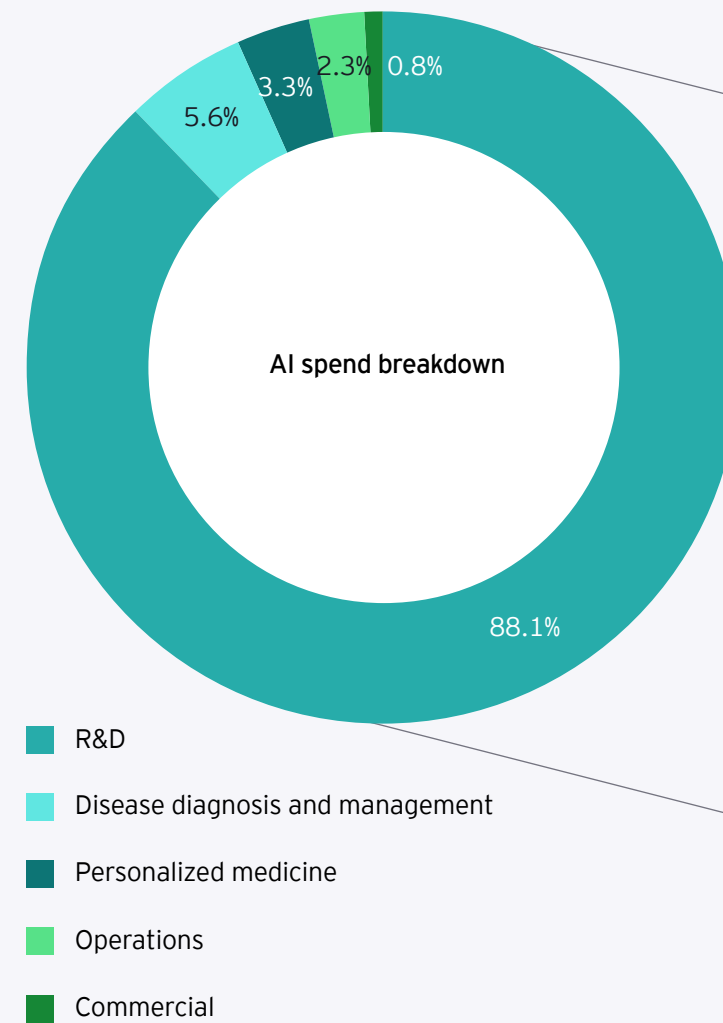
Sources: EY analysis, Capital IQ, company financial statement data.

Is R&D the real AI opportunity for biotech?

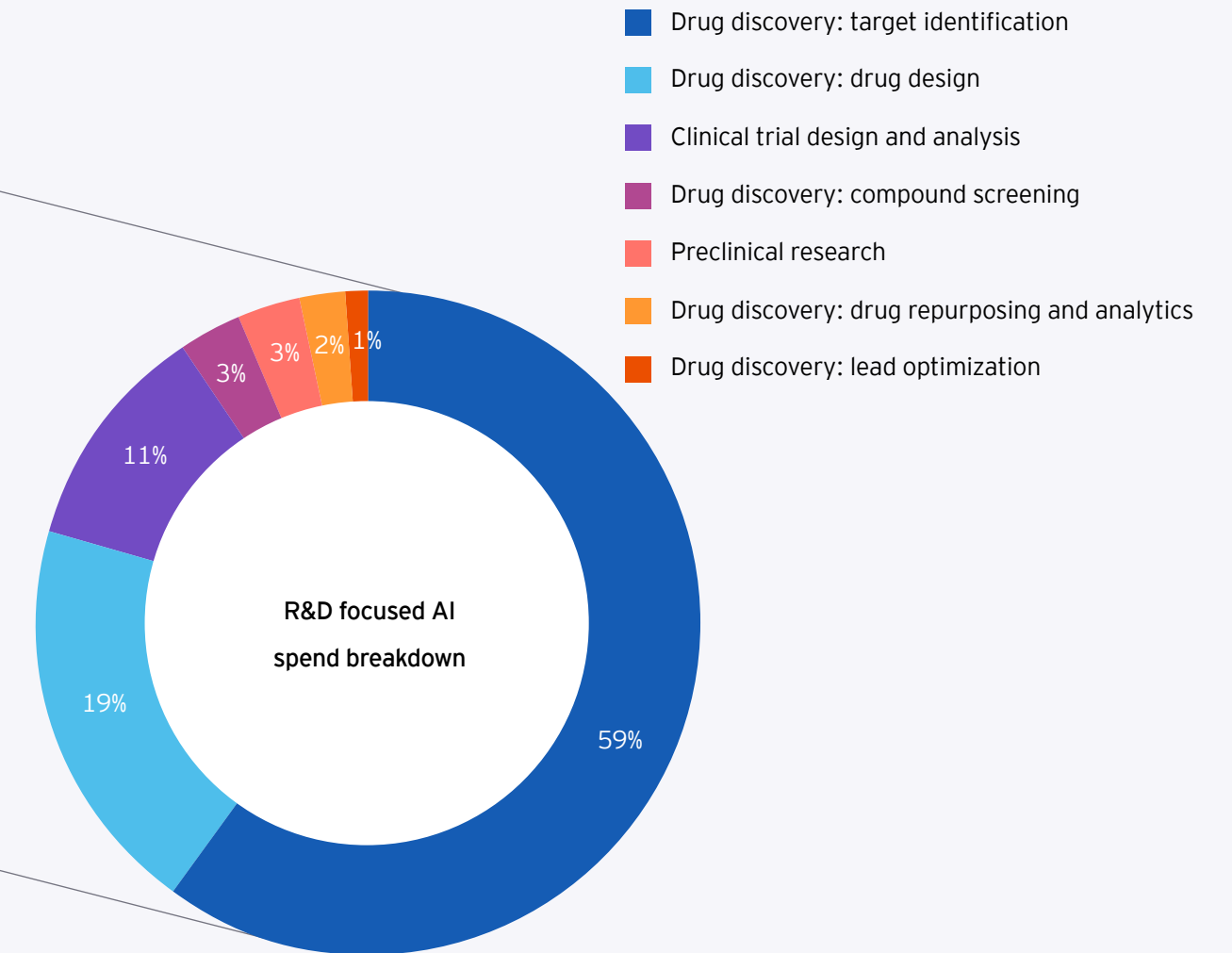
The potential for AI to reformat the life sciences business model is widely acknowledged across the sector, with companies leveraging AI to reinvent everything from how company supply chains are monitored in real time to how sales reps shape and personalize their messaging for payers and practitioners. Yet overwhelmingly the key focus for industry AI alliance spending is innovation: R&D accounts for over 88% of the sector's biobucks investment in the space with drug target identification, drug design and clinical trial patient recruitment the three biggest target areas.

Biopharma's appetite for exploring AI applications in R&D indicates the reality of innovation as an entrenched pain point for the industry. The high costs of developing or acquiring a drug reflects the high attrition rate of molecules in clinical studies and the extended timelines involved in moving a candidate from initial discovery through eventual commercialization. While China, as noted, offers some scope to speed up R&D timelines, industry hopes for a more drastic acceleration of the process rest on the power of AI engines (of course, there is also substantial overlap between investments into China and AI innovation opportunities, with some of Big Pharma's biggest AI alliances signed with China partners).²⁴

Dominance of R&D focus in AI dealmaking



Sources: Capital IQ, Biomedtracker, EY analysis.



For now, validation of AI's transformative impact on R&D is still pending, and biopharma leaders have followed a dual approach. They have signed multiple alliance deals with AI companies in the drug development space including Recursion, Schrödinger, In Silico Medicine and Isomorphic Labs. These deals have high biobuck values attached, but with the headline deal values dependent on milestones and earn-outs. At the same time, companies have significantly invested into their own AI infrastructure, including supercomputer clusters and GPUs. For now, the specialized algorithms and automation velocity offered by the specialist AI companies may outstrip what Big Pharma firms can build in-house, but a mixed model of proprietary capacity with external partnering appears to be the current working approach the industry is adopting.

Ultimately, to take advantage of the growing opportunities from China and AI-driven innovation, and to balance opportunities to accelerate R&D with the challenges of working in unfamiliar fields, biopharmas will need to meet these challenges:

- Developing the right deal constructs and partnering expertise to successfully work within China, including the potential need to embrace both “in China for China” as well as a “from China for global” models of how to globalize innovation within the country; this may involve building new joint ventures, devolving com-commercialization rights for the domestic Chinese market and building deep local expertise and collaboration.

- Finding the right balance between building AI capabilities in-house and finding the external partners who can optimize and accelerate AI programs – this includes entering into agreements to tap the emergent potential of quantum computing, an area where biopharma first-movers could build a significant edge in data and AI capabilities. Companies also need to build the tools to capture return on investment into AI initiatives to validate their spending in these areas.
- Companies need to work closely with regulators to capture the opportunities arising from China and AI; this includes understanding and partnering with the state and regional regulatory bodies within China, understanding and addressing US regulatory concerns about China-focused investment strategies, and collaborating to build a new regulatory framework around data access and usage to optimize efforts in the AI space.

Executive decision Part 2



Wendy Cheung

Senior Vice President, Head of Oncology, GPS
Roche/Genentech

How do you incorporate the potential of new modalities into growth strategy, and what are the challenges and roadblocks with these newer technology platforms?

We start from the patient perspective, understanding where the greatest unmet needs are and where we can have the most meaningful impact. From there, we assess how best to address those needs, and increasingly that means bringing new modalities into our portfolio as the science evolves. At Roche and Genentech, we do this by building a diversified, science-led pipeline across platforms such as antibodies, ADCs and next-generation cell therapies, with a clear focus on areas of highest unmet need. This is complemented by integrating diagnostics, data and digital capabilities to enable more personalized and effective care while improving the patient experience. We also actively partner to access emerging platform technologies and external innovation that complement our internal portfolio and strengthen our capabilities to deliver future breakthroughs.

Approaches such as cell therapies are nascent, complex and rapidly evolving, requiring different manufacturing models, closer integration across research, manufacturing and the clinic. Ensuring these innovations can be effectively delivered to patients remains a key focus.

How are current operating landscape uncertainties impacting how you plan your portfolio and partnering strategies?

The current environment is becoming more challenging to navigate, with macroeconomic and regulatory uncertainties impacting funding, valuations and deal activity. At the same time, there continues to be significant patient need, particularly in areas like oncology, reinforcing the importance of continuing to innovate and advance the science to deliver better therapies. For us, this means staying focused on bringing in the right external opportunities with transformative potential to complement our existing pipeline and portfolio, while prioritizing rigorously and maintaining discipline.

Balancing growth strategies against the realities of a tougher financing environment

Biotech's financing landscape is currently defined by a paradox: on the one hand, a record number of "mega-rounds" are being signed; on the other hand, growing numbers of biotechs are caught in an ongoing liquidity trap.

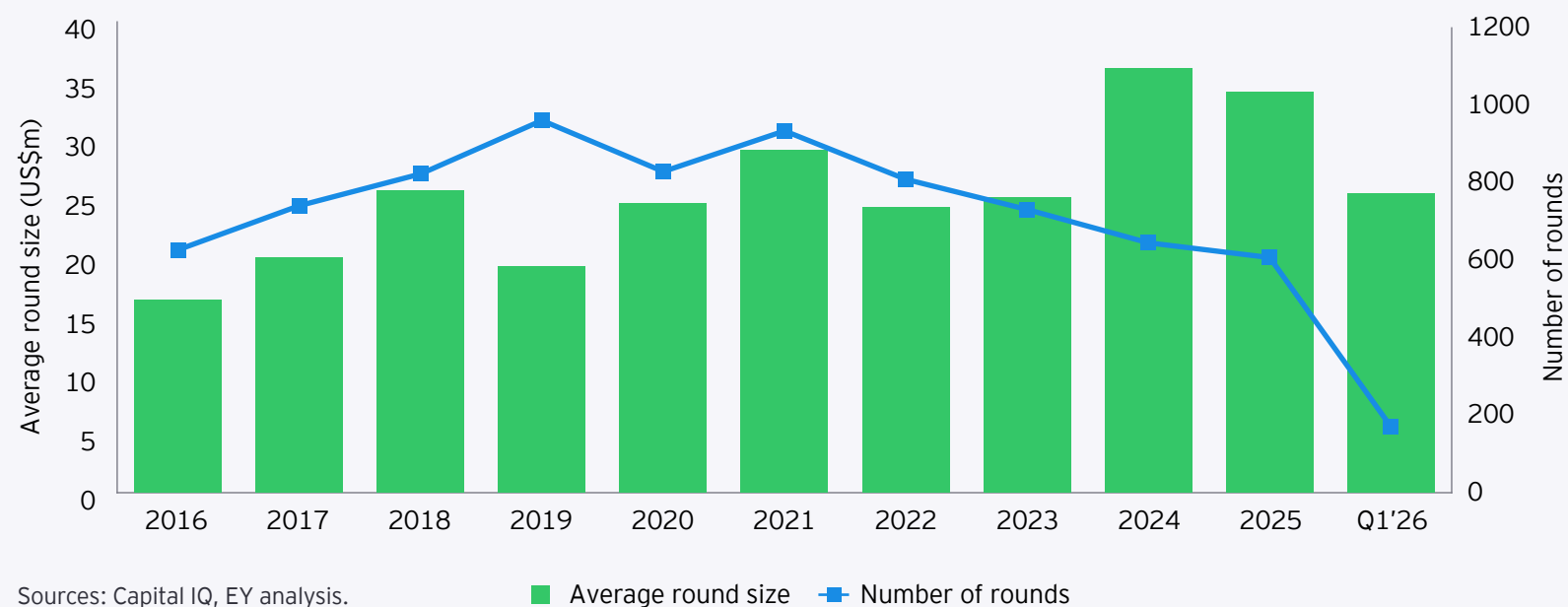
This financing pattern presents a significant challenge for the industry – how biotechs balance the strategic need to generate the clinical data needed to attract investment and potentially make an exit, with the

tactical challenge of keeping the lights on in the short term and remaining in operation. The answer lies in accelerating the reinvention of financing models.

The financing problem for biotechs in 2026

The issue the industry faces is not a lack of investment – as noted, venture capital spending proved exceptionally robust in 2025. Yet the high overall spend levels mask two distinct challenges for the sector. The total spend is driven by an inflated average round size that hit new heights in 2024-25, dwarfing the average rounds seen at the pandemic peak of investor excitement about the biotech sector. At the same time, the number of rounds has fallen away year on year from that 2021 peak, in 2025 dropping back to the level of a decade prior.

Biotech number of VC rounds and average round size 2016-Q1 2026



Moreover, the share of revenues going to early-stage companies (that is, seed, first or second rounds of financing) fell to a decade low of 59% in 2025, with the total number of early-stage VC rounds dropping to 353 – the lowest recorded since 2014. Venture financing is becoming more discriminating – willing to make significant investments, but only on a select number of strategic opportunities – and, relatedly, becoming more risk-averse. The reduced appetite for early-stage funding reflects a growing preference for clinically-validated candidates and existing portfolio investments over new contenders. In short, investors will make relatively big bets – but only on relatively safe bets.

For the biotechs that fail to attract these lucrative VC rounds, access to public markets has become increasingly challenging considering the disappearance of the IPO market since the beginning of 2022. The sluggish performance of the IPO market over the past three years has exacerbated the squeeze in the sector.

Though the first quarter of 2026 saw promising signs for biotech IPOs, other external factors have compounded the challenge for the sector. Firstly, the rise of China (see INNOVATION chapter) offers Big Pharma a low-cost pathway to "outsourcing" early-stage innovation, which may reduce opportunities for US and European biotechs to capture financing. Secondly, the questions over National Institutes of Health (NIH) budgeting under the current US administration have added a large measure of uncertainty to the ongoing support of the largest global funder of basic biomedical research. Lower availability of NIH grants also weakens the value of this funding as a due diligence proxy for private investors, potentially amplifying the reluctance of VCs to invest in the sector.

Executive decision

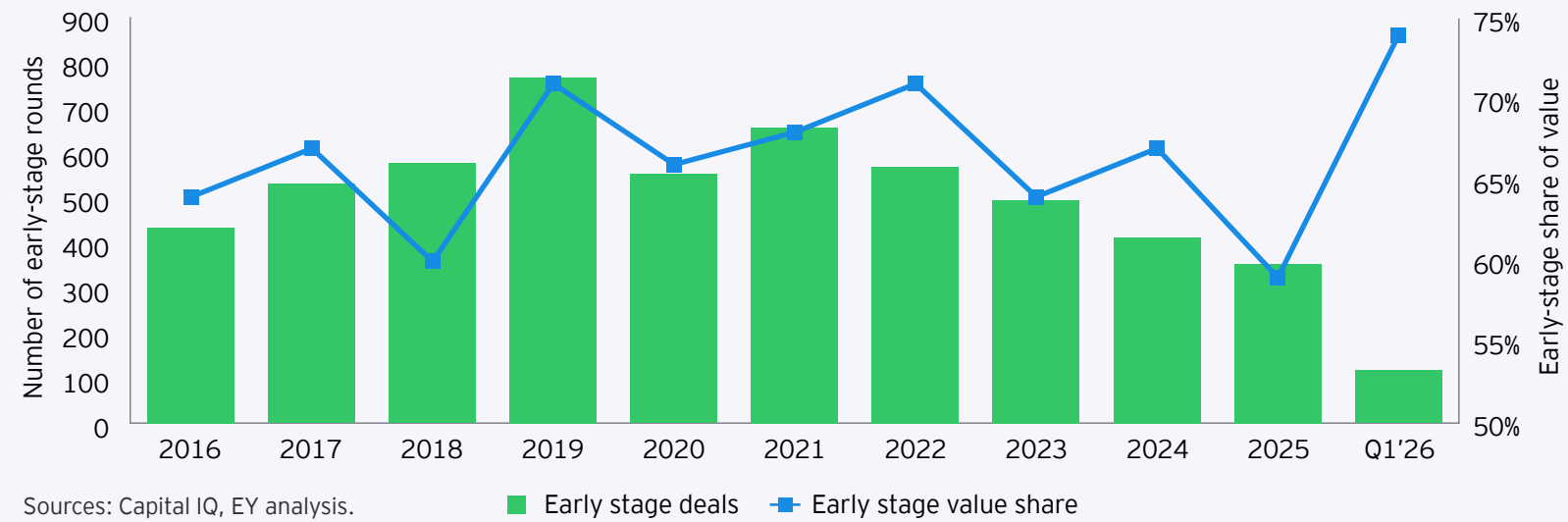
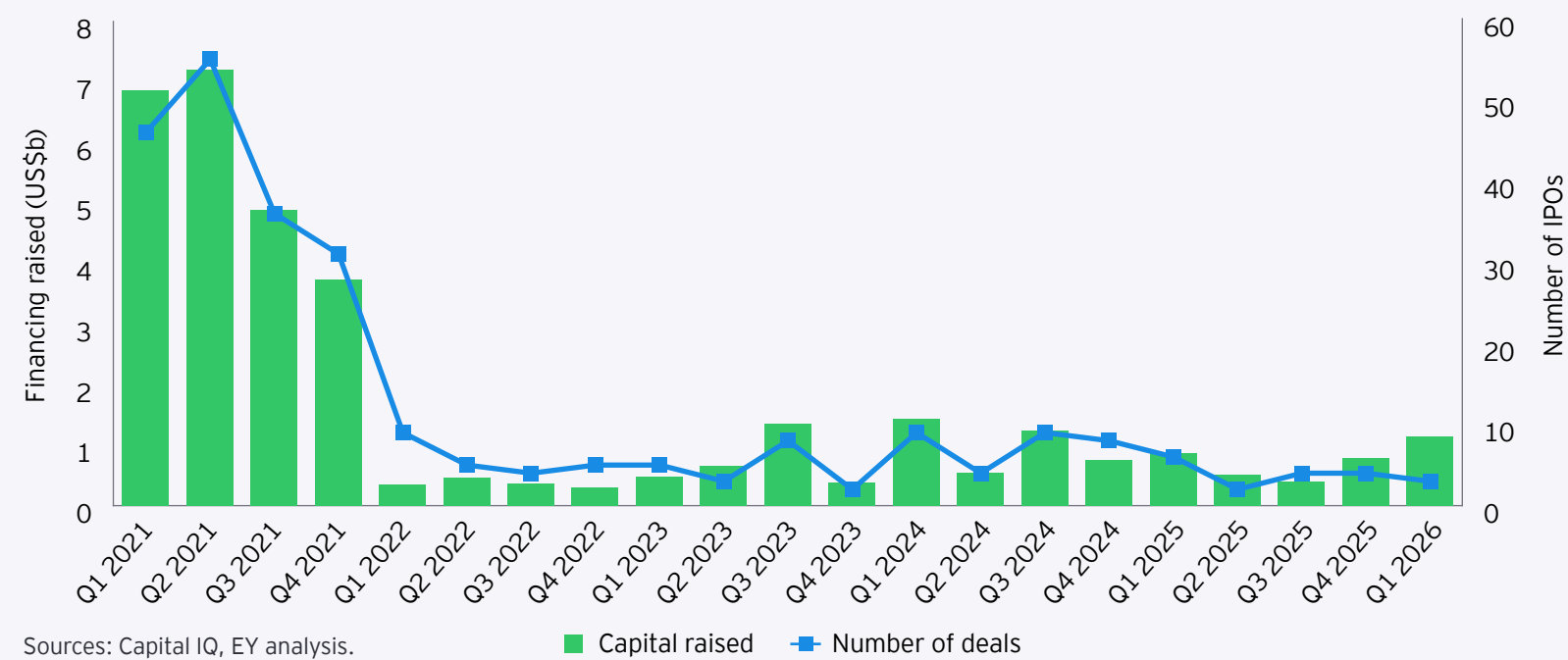
Roger M. Perlmutter, M.D., Ph.D.

President, CEO Officer and Board Chair
Eikon Therapeutics²⁵

At US\$381m, Eikon looks set to be the largest biotech IPO since 2024, overtaking Aktis Oncology's US\$318m offering last month. Eikon will be the second biotech working on new drugs to go public in 2026 and completed enrollment of the TeLuRide-005 Phase 2 trial of EIK1001 in first-line treatment of stage 4 non-small cell lung cancer.

"2025 was an important year of progress for Eikon's business and clinical programs. With our initial public offering, and the consequent strengthening of our balance sheet, we believe we are well-positioned to advance multiple registration-enabling programs, bringing us closer to our mission of delivering breakthrough therapeutics to patients with serious illnesses."

Source: Eikon news release, 3/30/26;
Fierce Biotech article 2/5/26

Early-stage biotech VC: number of rounds and share of VC spend 2016-Q1 2026**IPO capital raised and number of deals, Q1 2021-Q1 2026**

The convergence of these factors has created a stark financing reality for biotechs. Aside from the select group favored by VC investors, startups face a tougher path to sustainable financing, with more companies exiting via acquisition – or simply checking out, unable to maintain financial viability.

US biotechs: IPO vs. exits and liquidation, 2016-2025

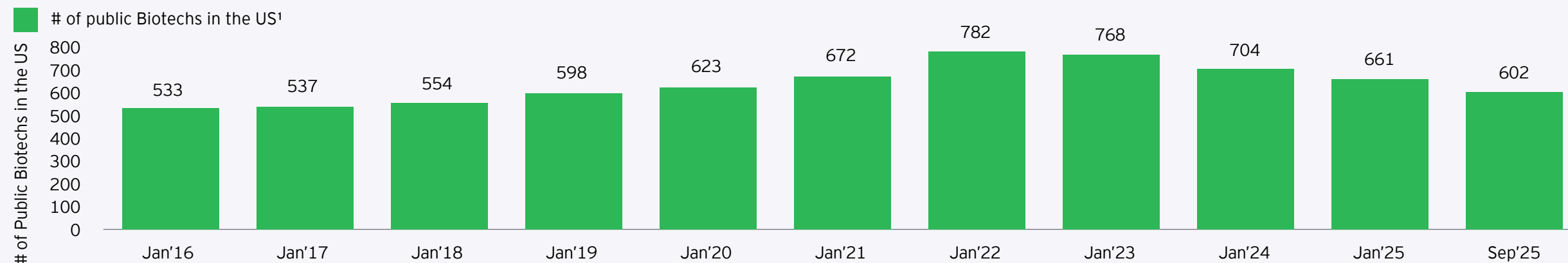
For 12 months ending Dec. 30 >>



Sources: Capital IQ, EY analysis.

With the number of companies exiting or folding outstripping the number of new public offerings every year since 2021, the number of companies publicly trading has contracted for four consecutive years. In the US, the number of public biotechs has plunged by nearly a quarter since the 2022 peak. Since of these companies, around 50%, have two years or less of cash remaining, the financing situation represents a stark ongoing challenge for the biotech ecosystem.

Net change in number of US biotechs, 2016-2025



Sources: EY analysis, Capital IQ, company filings, press releases, secondary research.



Possible solutions for biotech's financing squeeze

For biotech's have-nots, a new era of financing approaches is being born of necessity. Specialized firms are increasingly providing fixed-term loans and debt to biotechs with early-stage assets, widening the scope for early-phase – and even preclinical – companies to access funding. Biotechs looking to make exits recognize the value of contingent value rights (CVRs) to help close valuation gaps by building in post-acquisition shareholder payouts linked to clinical and commercialization milestones. Biopharma deals in 2025 saw increasing deployment of this practice, with industry dealmakers commenting that the use of CVR has become almost expected in dealmaking.

Beyond acquisitions, debt and equity financing approaches, another option biotechs are exploring is fundraising through selling tiered or fixed shares of future revenues from pre-market products. This “synthetic royalty” model – effectively, selling royalties on prospective revenues – picked up steam in 2025 with Revolution Medicines' US\$2b synthetic royalty deal with specialist firm Royalty Pharma. Potentially the largest such deal of this type to date, the deal illustrated “a new funding paradigm for highly innovative biotech companies.”²⁶ For biotechs the advantages of these deal models include the relative operational autonomy they can retain by trading royalties rather than equity, with the up-front availability of cash potentially enabling companies to cross the clinical trial finishing line without a Big Pharma partner.

The proliferation of innovative deal and fundraising structures offers biotechs a way forward in the current high-pressure financing landscape. To benefit from these opportunities and build their growth strategy on firm financial foundations, biotechs need to:

- Ensure they have a robustly defined and patent-moated intellectual property portfolio as core value proposition and collateral; and identify upfront the deal structure and milestone model that will enable them to close the valuation gap and find a strategic partner.
- Establish the right setup to fly solo as long as necessary, and find the right financing approach to balance strategic autonomy with the need to bridge the path to future profitability.
- Leverage AI as a potential lever to reduce operational costs – using AI to generate cheaper quicker data can be a strong defensive move for biotechs that risk being sidelined by industry leaders investing in China or in-house AI R&D.



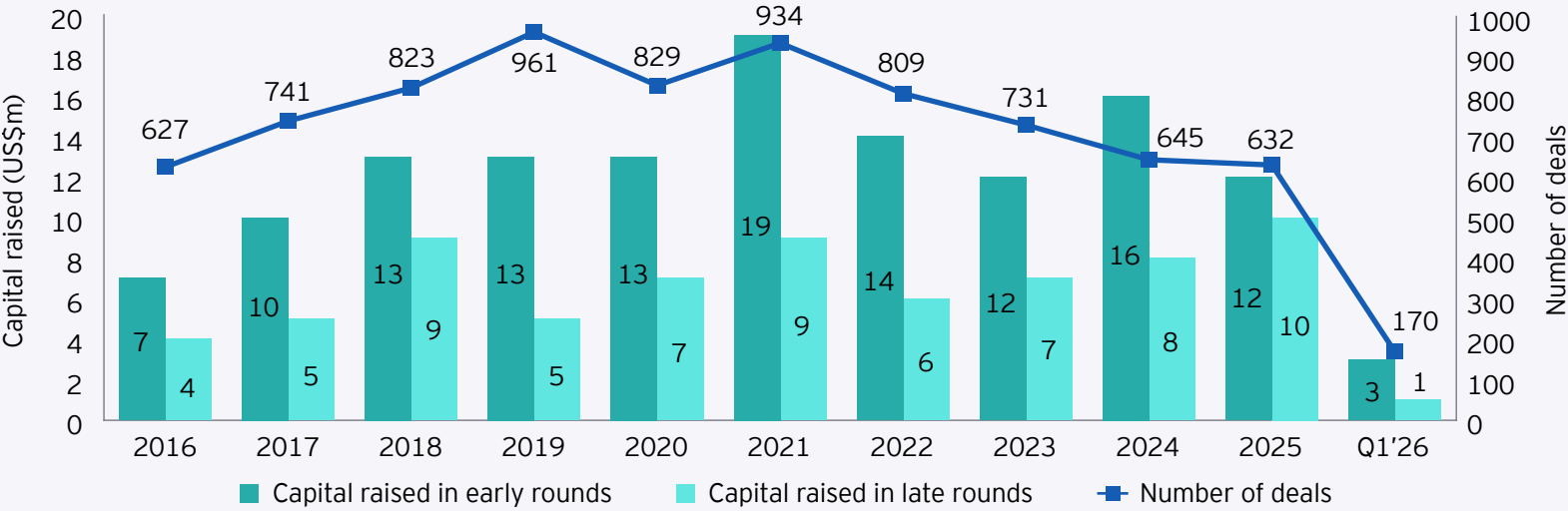
Financing

Biotech financing, 2010-Q1 2026

	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	Q1 2026
IPOs	1,325	863	909	3,546	6,856	5,419	2,283	3,829	7,195	6,543	13,428	22,689	1,485	2,865	3,995	2,240	1,147
Follow-on and other	5,869	5,860	7,672	9,314	14,418	22,665	11,247	23,196	27,759	32,980	60,887	55,594	20,891	29,838	21,477	28,864	7,635
Debt	12,507	23,981	14,554	12,979	26,266	31,313	29,849	19,600	12,504	10,644	29,102	15,472	13,670	29,929	11,368	16,706	16,253
Venture	5,811	5,586	5,670	5,877	8,065	12,225	10,278	14,884	21,199	18,431	20,374	27,319	19,228	18,341	24,719	20,640	4,318
Total	25,513	36,291	28,805	31,718	55,604	71,622	53,657	61,509	68,657	68,598	123,791	121,074	55,274	80,973	61,560	68,450	29,352

Sources: EY analysis, Capital IQ and VentureSource. Numbers may appear inconsistent because of rounding. Convertible debt instruments included in "debt."

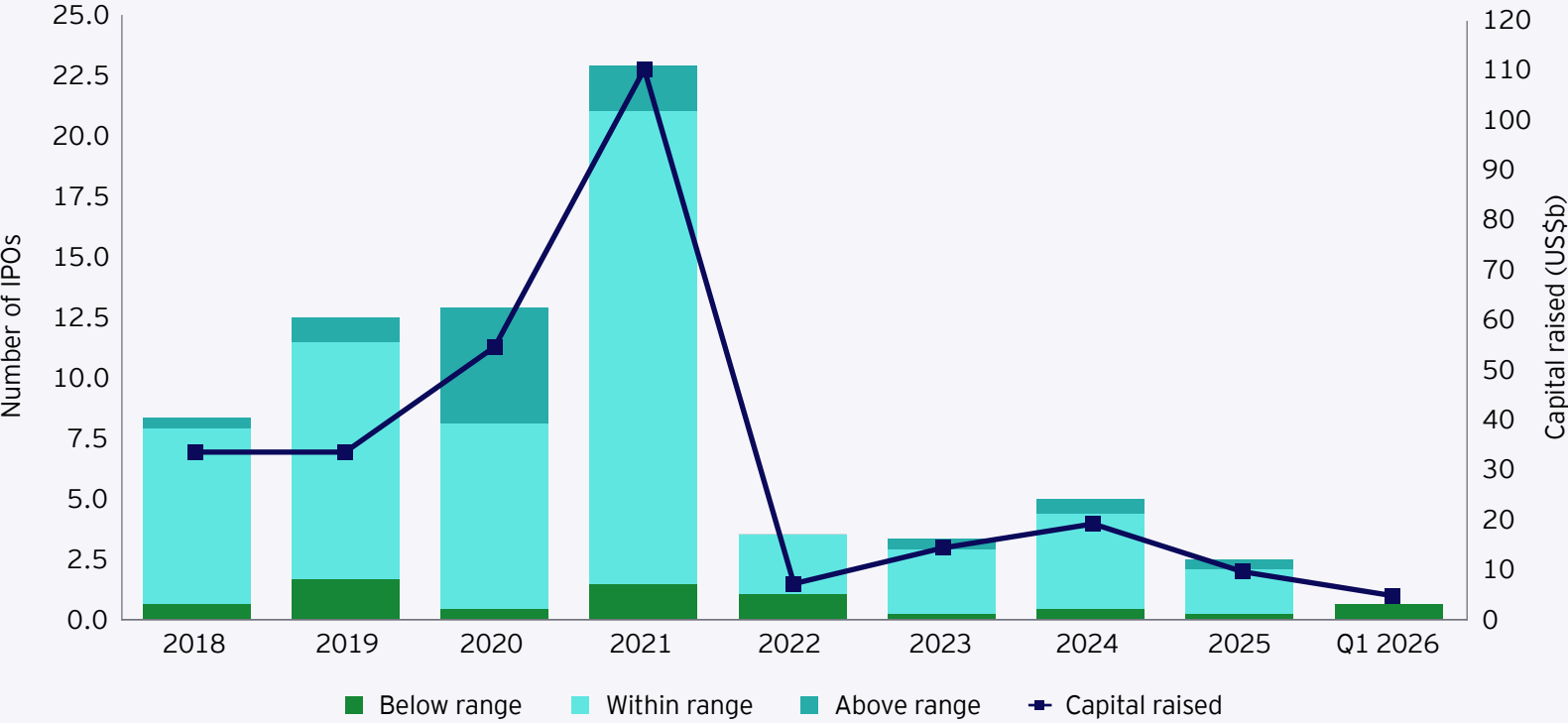
US and European venture capital raised by year, (2016-Q1 2026)



Sources: EY analysis, Capital IQ. Numbers may appear inconsistent because of rounding. Convertible debt instruments included in "debt."

- Early-stage funding contracted – Early-round biotech VC fell from US\$16b in 2024 to US\$12b in 2025, reflecting tighter risk appetite, higher investor selectivity and continued scrutiny of preclinical science without near-term inflection points.
- Late-stage funding rebounded – Late-round capital increased from US\$8b to US\$10b, as investors concentrated dollars behind de-risked assets, clinical milestones and companies viewed as IPO- or M&A-ready.

US and European biotechnology IPO pricing by year (2018-Q1 2026)

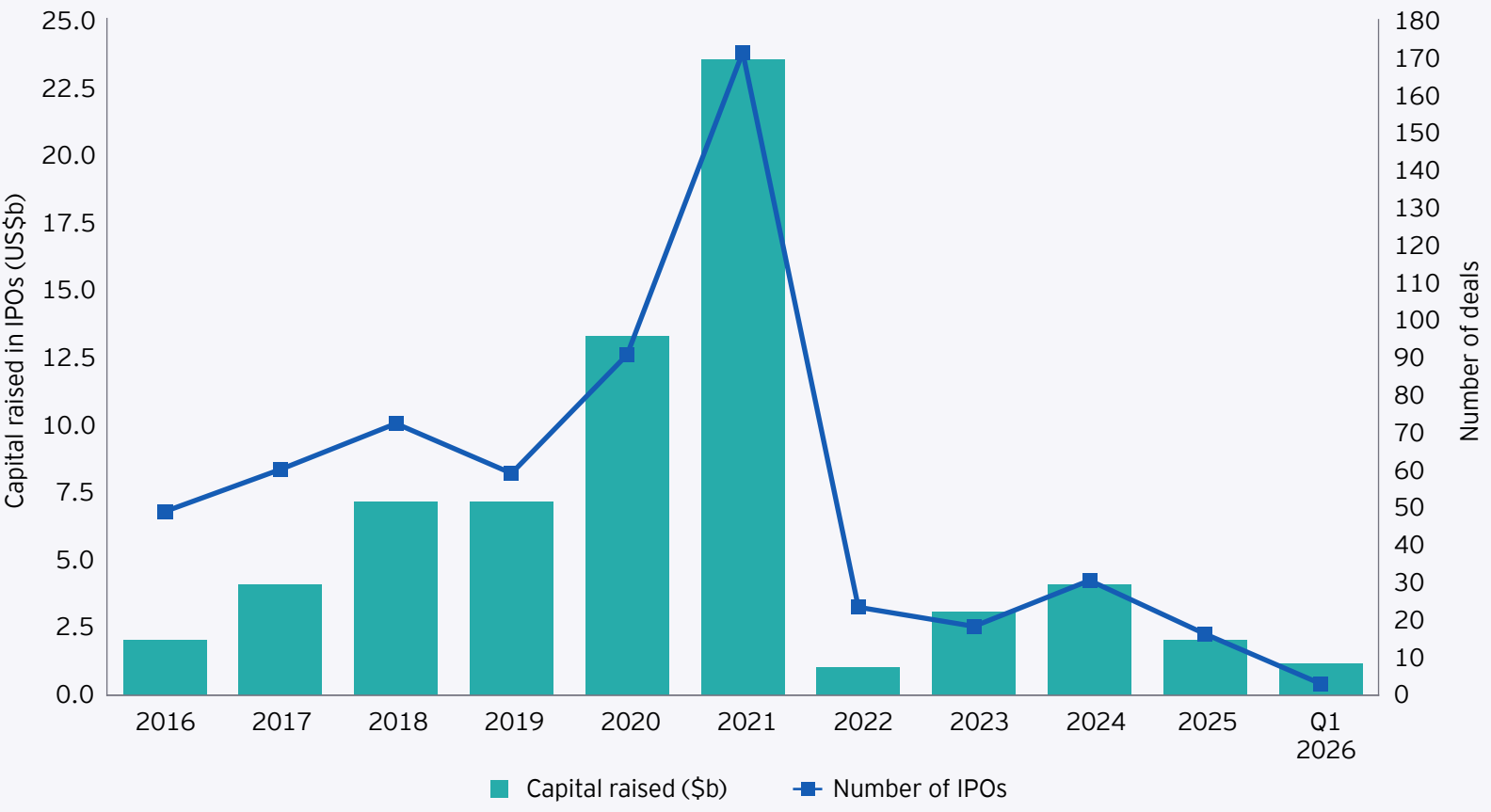


Sources: EY analysis, Capital IQ.

- The US\$2.2b raised through biotech IPOs in 2025 came almost entirely from the US (96%). Europe remained largely sidelined, with no European biotech raising more than US\$88.4m, the 9th-largest IPO out of just 16 total offerings for the year, highlighting continued regional disparities in capital access.
- The leading offerings in IPOs were led by Caris Life Sciences, Metsara, MapLight Therapeutics, and LB Pharmaceuticals, reflecting sustained investor preference for neurology, oncology and cardio-metabolic assets. Outside these core areas, offerings included Sionna Therapeutics, which is developing treatments for cystic fibrosis and Evommune which is focused on chronic inflammatory diseases, signaling targeted investor interest beyond traditional biotech strongholds.

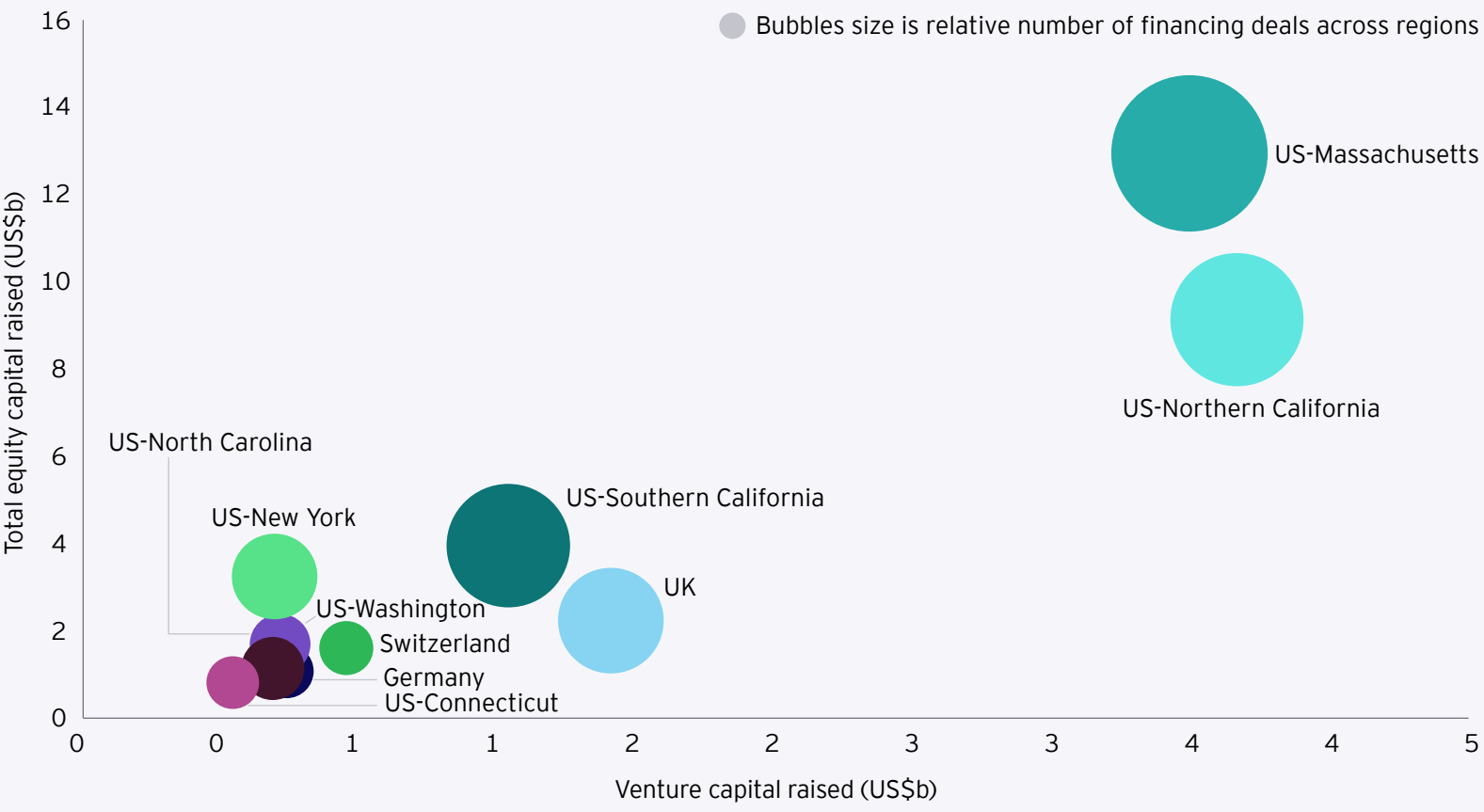
- Excluding debt financing, Massachusetts and Northern California remained the clear centers of US biotech activity in 2025, accounting for 288 non-debt financings combined. Together, the two regions raised US\$8.1b in venture capital, approximately 55% of total US biotech VC (US\$14.8b) and US\$21.9b in total equity financing, representing roughly 53% of all US biotech equity capital raised during the year (US\$42b Ex-debt).
- Beyond these established US clusters, fundraising activity fell off sharply. The UK emerged as the leading non-US biotech market, raising US\$1.9b in venture capital and US\$2.2b in total equity financing. Other European hubs such as Switzerland (US\$1.5b equity) and Germany (US\$1.0b equity) contributed more modest amounts, reinforcing the continued concentration of biotech capital formation within mature US ecosystems.

US and European IPOs, 2016-Q1 2026



Sources: EY analysis, Capital IQ.

Capital raised by leading US and EU regions excluding debt, 2025



Sources: EY analysis, Capital IQ.

Top US and European venture capital rounds, 2025

Name	Region	Therapeutic focus of lead candidate	Clinical stage of lead candidate	Gross raised (US\$m)	Quarter	VC round type
Kailera Therapeutics, Inc.	US-Massachusetts	Other(Obesity)	Phase III	600	Q4	2nd round
Isomorphic Labs	UK	Other	NA	600	Q1	1st round
Verdiva Bio Limited	UK	Other (Obesity)	Phase II	410	Q1	1st round
Tubulis GmbH	Germany	Oncology	Phase I/IIa	400	Q4	Late stage
Biohaven Therapeutics Ltd	US-Connecticut	Neurology	Phase III	400	Q2	VC debt
MapLight Therapeutics, Inc.	US-Northern California	Neurology	Phase II	373	Q3	Late stage
Pathos AI, Inc.	US-Illinois	Oncology	Phase 1b/2a	365	Q2	Late stage
Eikon Therapeutics, Inc.	US-Northern California	Oncology	Phase III	351	Q1	Late stage
Kriya Therapeutics, Inc.	US-North Carolina	Multiple (Neurology, Ophthalmology)	Pre-clinical	313	Q3	Late stage
Kardigan	US-Northern California	Cardiovascular/vascular	Phase III	300	Q1	1st round
Itm Isotopen Technologien München Aktiengesellschaft	Germany	Oncology	Registration	263	Q2	Late stage
Orca Biosystems Inc.	US-Northern California	Oncology	Phase III	250	Q4	3rd round
Aviceda Therapeutics, Inc.	US-Massachusetts	Ophthalmology	Phase II/III	208	Q1	3rd round
Abcuro, Inc.	US-Massachusetts	Autoimmune	Phase II/III	200	Q1	3rd round
Tenvie Therapeutics	US-Northern California	CNS	IND-Enabling	200	Q1	1st round
Yarrow Bioscience, Inc.	US-New York	Autoimmune	Phase 1b/2b	200	Q4	1st round
Windward Bio AG	Switzerland	Immunology	Phase II	200	Q1	1st round
Callio Therapeutics, Inc.	US-Washington	Oncology	Pre-clinical	187	Q1	1st round
Braveheart Bio, Inc.	US-Northern California	Cardiovascular/vascular	Phase III	185	Q3	1st round
Electra Therapeutics, Inc.	US-Northern California	Multiple (Immunology, Oncology)	Phase II/III	183	Q4	2nd round

Sources: EY analysis, Capital IQ.

- Venture funding softened in 2025, with investors prioritizing late-stage quality over volume: After a rebound in VC activity in 2024, biotech venture funding moderated in 2025 as investors became more selective, concentrating capital on companies with Phase II/III lead assets, strong prior validation, and credible execution track records. Overall VC spending continued at a respectable rate into 2026, with the first quarter seeing biotech generate another US\$4.3b in VC investment. However, the recent pattern of investment indicates a selective recovery, with capital focused on stronger, later-stage opportunities rather than a broad rebound in early-stage investing.
- The largest capital financings of the year included a US\$600m round for Kailera Therapeutics, focused on late-stage, next-generation obesity therapy, and a US\$600m raise by Isomorphic Labs, Alphabet’s London-based AI drug-discovery platform.
- Other venture capital financing rounds were led by Biohaven and MapLight Therapeutics, underscoring renewed institutional appetite for CNS innovation, with investors backing differentiated neuroscience mechanisms, late-stage neuropsychiatric programs, and platform-driven CNS research. The presence of multiple neurology-focused financings among the year’s top deals signals that CNS is once again being viewed as a key long-term growth area in biotech.